

Generative AI's Act Two: From Technology Hammer to R

Sequoia Capital analysis • Published September 2023

Act Two: shifting from technology hammer →
real value



Six Decades of Technological Progress Converged to En



6 decades: Six decades of Moore's Law
Compute



4 decades: Four decades of the internet
Data



2 decades: Two decades of mobile + cloud
Distribution

These waves stacked to make generative AI inevitable.

GenAI Startups Surpassed \$1B Revenue Faster Than Sa

>\$1B

startup revenue in months (vs. years for SaaS)

Standout traction signals

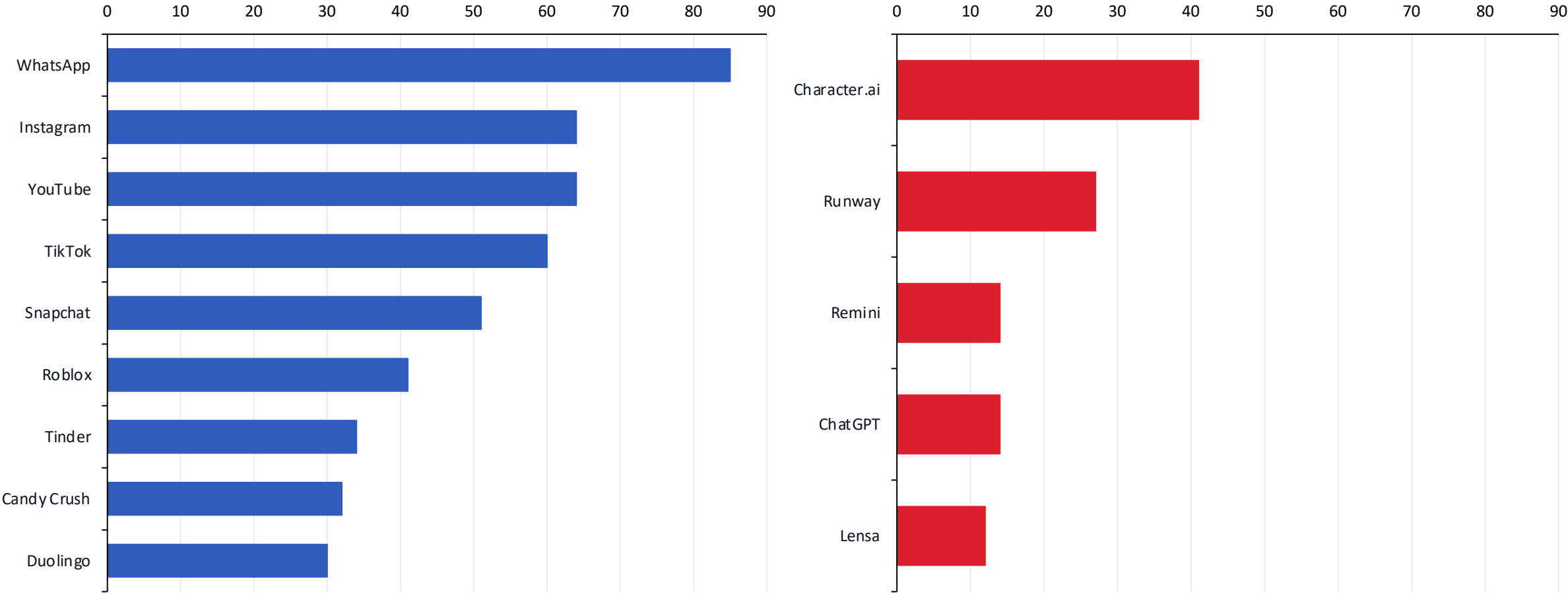
ChatGPT: fastest-growing application in history

Midjourney: hundreds of millions in revenue with 11 employees

Character.ai: ~2 hours average session time

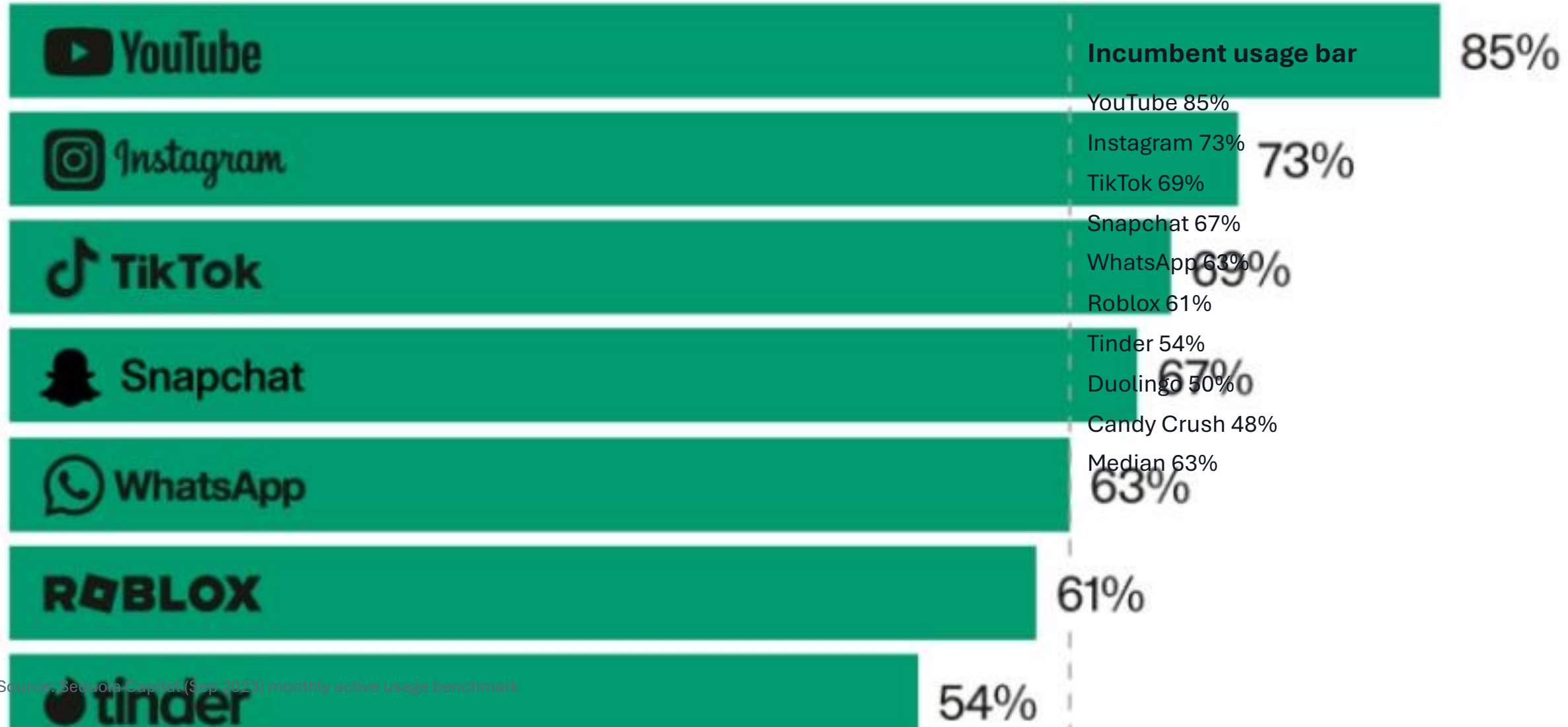
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention benchmark: 51% median (incumbents) vs. 14% median (AI-first)



Source: Sequoia Capital (Sep 2023) mobile retention benchmark

YouTube Leads Incumbents at 85% Monthly Active Usage



Source: Sequoia Capital (Sep 2023) monthly active usage benchmark

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1 — Technology-Out

Foundation models as the entire solution
Novelty demos; lightweight wrappers
Cool tech first; weak stickiness
Retention gap vs. incumbents

Act 2 — Customer-Back

Foundation models as one component of a comprehensive solution
New editing interfaces; workflow-integrated
Often multi-modal
End-to-end problem solving
Exemplars: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality

Act 1 market map

Organized by model modality
Text / image / code buckets
Technology hammer framing



Act 2 market map

Organized by use case
Increasingly multi-modal apps
Value delivery end-to-end
Examples: Harvey (legal), Glean (enterprise search),
Character & Ava (companionship)

Key Takeaways: What Separates Winners in Act Two

Actionable implications

Retention is the critical challenge: 14% median (AI-first) vs. 51% (incumbents)

Treat foundation models as a component, not the whole product

Win with multi-modal, workflow-integrated, end-to-end solutions

The >\$1B startup revenue milestone indicates real demand despite skepticism

Act 2 winners solve human problems with stickier interfaces (e.g., Harvey, Glean, Character, Ava)